

“We also make sure that they disclose any conflicts of interest and work with us to create content in the best interests of the trading community,” adds Khoday.

Nithin Kamath, Founder and CEO of Zerodha, the biggest brokerage firm, has also highlighted similar measures. “We launched verified P&L at Zerodha to bring accountability, given all the fake P&L screenshots and videos shared on social media to peddle courses, advisory services, trading accounts, and other financial products,” he recently said in a post on employment-focused social media platform LinkedIn. Kamath, who himself has one million followers on LinkedIn, added that his firm has even tried to plug a gap through which influencers could still potentially game the system.

CONCRETE ACTION

And that brings us to the regulator’s measures. In this regard, Sebi Chairperson Madhabi Puri Buch, the first woman to head the regulatory body, has taken the lead. On many occasions, she has highlighted the regulatory concerns around influencers mis-selling products.

Sebi’s most high-profile action came in May, when it barred P.R. Sundar, a top finfluencer with over a million followers on YouTube, from the securities market for a year for allegedly providing advisory services like daily stock investment and trading calls without the requisite registration. It directed him to disgorge the fees that he had charged, along with interest, which amounted to a little over ₹6 crore.

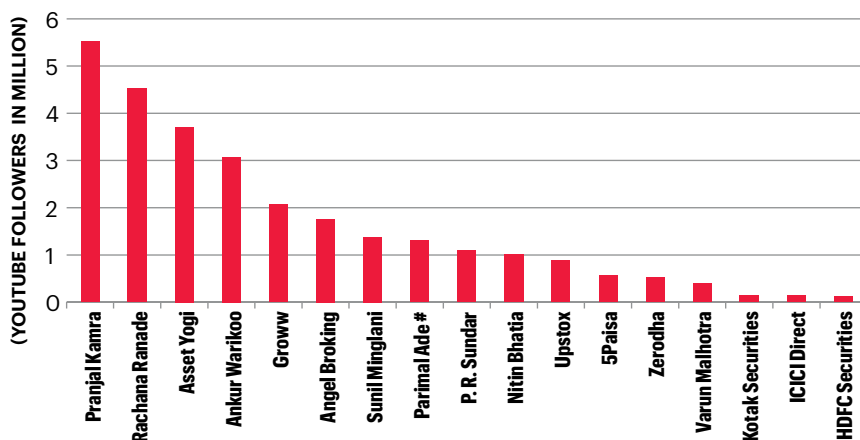
But that was just one prominent move in a series that

THE BIG LEAGUE

► **FINFLUENCER FOLLOWER COUNTS DWARF THOSE OF BROKERAGE FIRMS**

► **THERE IS ONLY ONE BROKERAGE FIRM IN THE TOP FIVE**

SOURCE YOUTUBE
#PARIMAL ADE HAS THREE YOUTUBE CHANNELS



He said since Zerodha allows clients to enter a buy price for stocks transferred from other brokers, one could “potentially game verified P&L by entering a lower buy price for transferred stock and showing higher equity profits in verified P&L.”

Kamath, in a post on August 31, said that his platform has stopped showing the P&L for transferred stocks on the verified P&L page. “This is because there’s no way for us to verify if the buy price entered by the customer is accurate,” he said.

The crux of the problem still remains the growing number of unregistered influencers as Sebi or any other regulatory body has no jurisdiction there.

began in November. So far, the regulator has passed nearly a dozen orders against alleged violators. While banning most of them from the securities market for a specified period, the regulator has also ordered the wrongdoers to refund all the money collected as fees from investors.

Entities like Bourse India Investment Advisor, Gunjan Verma, Rocket Tips, Kuber Capital, Sure Shot Future Advisory Services, and Crude Oil Tipswala, among others, have faced regulatory ire.

More recently, the watchdog issued a consultation paper in which it proposed restricting the association of Sebi-registered intermediaries and regulated entities